

The ranking process

The banks were divided between 'Indian Banks' (consisting of public- and private-sector banks), 'Foreign banks' (branches of foreign banks operating in India), and Indian small finance banks. Indian Banks were further classified based on balance sheet size as on March 31, 2025.

Group I: Indian banks with a balance sheet size of more than or equal to ₹5 lakh crore

Group II: Indian banks with a balance sheet size of more than ₹2 lakh crore and less than ₹5 lakh crore

Group III: Indian banks with a balance sheet size of less than or equal to ₹2 lakh crore

Group IV: Foreign banks with a balance sheet size of more than or equal to ₹25,000 crore

Group V: Indian Small finance banks

Ranking parameters

The banks were judged on three parameters—growth, size, and strength—divided into 36 sub-parameters (39 sub-parameters for foreign banks):

Growth: There were 12 sub-parameters (14 for foreign banks), which included YoY growth in total deposits, alongside three-year* CAGR of total deposits; YoY growth in CASA deposits, alongside three-year* CAGR of CASA deposits; YoY growth in loans and advances, alongside three-year* CAGR in loans and advances; YoY growth in fee income (commission, exchange and brokerage income plus miscellaneous income), alongside three-year* CAGR in fee income; YoY growth in operating profit, alongside three-year* CAGR in operating profit; and absolute increase in market share of

deposits and of CASA balances.

The two additional parameters for foreign banks were YoY growth in saving account (SA) deposits and alongside three-year CAGR of SA deposits.

**Two years for Shivalik Small Finance Bank Limited and Unity Small Finance Bank Limited*

Size: There were 3 sub-parameters: size of total deposits, size of operating profits, and size of balance sheet as on March 31, 2025.

Strength: There were 4 overarching sub-parameters:

Quality of assets: Increase in GNPA's in %: Additions to GNPA's during the year as a percentage of average net loans and advances (i.e. average of closing balance of FY24 and FY25); NPA coverage: provisioning as on March 31, 2025 for NPA's as percentage of GNPA closing balance; net NPA's as a ratio of net advances: GNPA's closing balance net of provisioning as at March 31, 2025 expressed as percentage of net advances; GNPA's as a ratio of gross advances: GNPA's closing balance as on March 31, 2025 expressed as percentage of gross advances; secured net advances (net of provisions) to total net advances (net of provisions): Secured net advances to total net advances as at March 31, 2025; deposits of 20 largest depositors as a percentage of total deposits, advances to the 20 largest borrowers as a percentage of total advances, exposure to 20 largest borrowers/customers as a percentage of total exposure.

For determining rankings based on the provision coverage ratio, banks having zero NPA's and banks having a provision coverage ratio of 100% were assigned the highest rank in that parameter.

Productivity and efficiency: Cost-to-income ratio: Operat-

ing expenditure as a percentage of operating income; cost-to-average asset ratio: operating expenditure as a percentage of average total assets (i.e. average of closing balance of FY24 and FY25); absolute increase in return on assets: basis points increase in return on assets (net profit over total assets) from FY24 to FY25; percentage increase in ratio of operating profit to total income from FY24 to FY25; profit per employee; number of branches in India as on March 31, 2025 for foreign banks.

Quality of earnings: Return on Assets (RoA): Ratio of net profit to average total assets (i.e. average of closing balance of FY24 and FY25); fee income as a percentage of total income; return on equity: reported net profit divided by average net worth (i.e. average of closing

